The Legacy of Slavery

Week 10

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Today

1. **A gap.** Althoff and Reichardt follow Black families from 1870 to 1940 and measure the gap in incomes from surnames in a 2023 credit file. Families enslaved until the Civil War still trail families that were free before it.

2. **A method.** That gap can be measured only because census records can now be linked without an identifier. Abramitzky and coauthors show what linking costs.

3. **A break.** Wright explains how a regime that had lasted nearly 90 years ended within a few.

What did slavery leave behind and how would anyone measure it?

Three questions to begin

To the room.

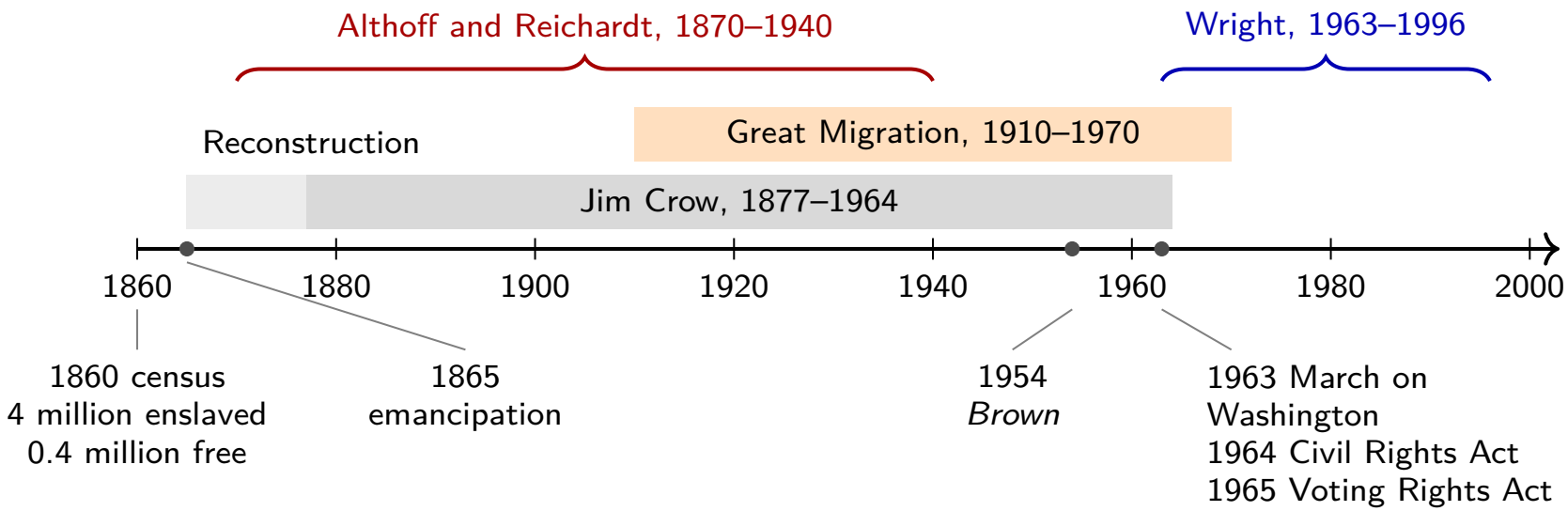
1. Who bore the costs of slavery and Jim Crow, who gained, and for how long?

2. Why do social preferences sometimes change in a revolutionary way?

3. Was the Civil Rights Revolution good for the economic development of the South?

Althoff and Reichardt answer the first question. The second and third are Wright's (1999).

From the 1860 census to the Voting Rights Act



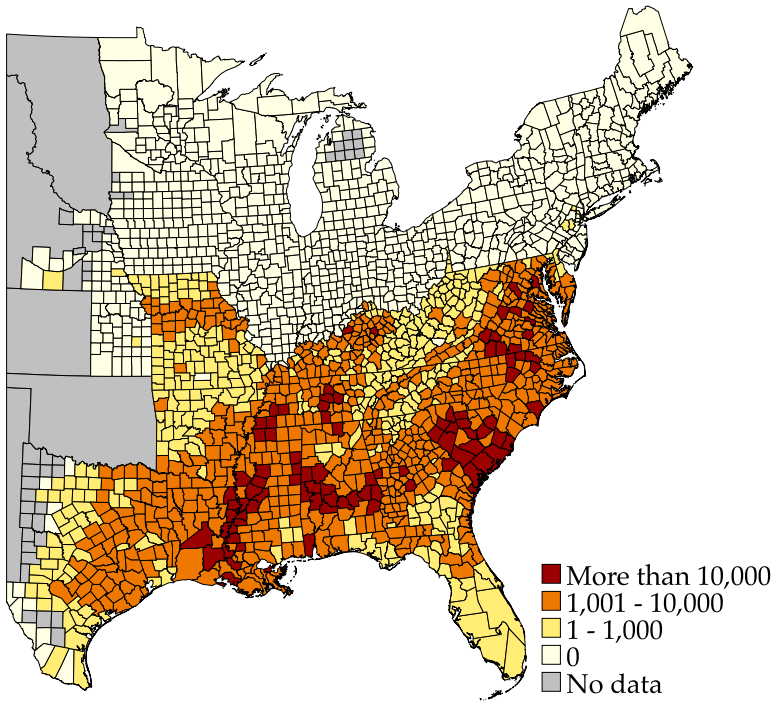
- Althoff and Reichardt compare Black families by their status in 1865 and follow them through seven censuses.
- Wright starts in Warren County, North Carolina, in June 1963.

Althoff and Reichardt (2024), pp. 2284 and 2286–2287. Wright (1999), p. 267.

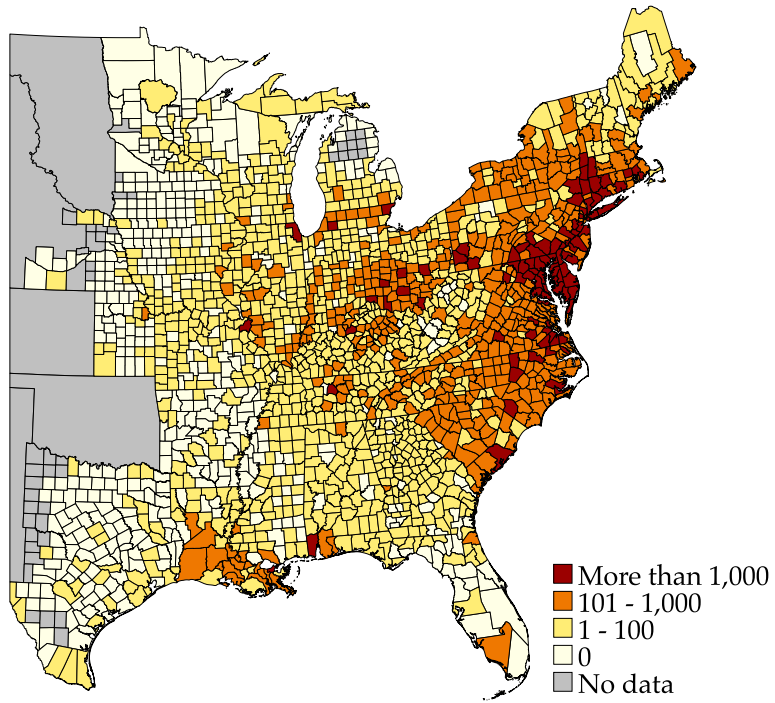
Althoff and Reichardt on Jim Crow and Black economic progress

Where the enslaved and the free lived in 1860

(A) Number of Enslaved



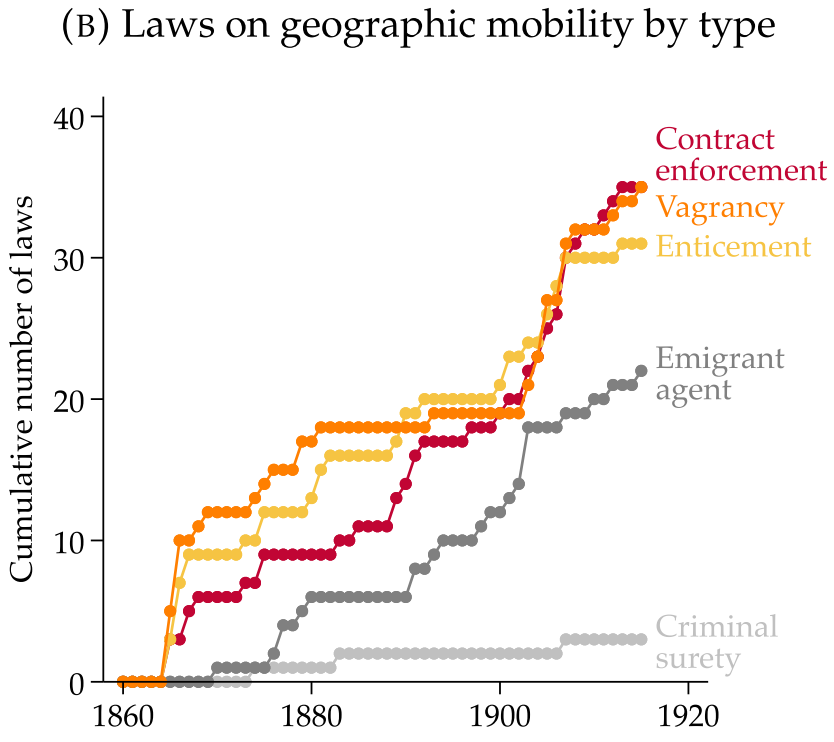
(B) Number of Free



The 1860 census counted 4 million enslaved and 400,000 free Black Americans. In the Upper South 11.1 percent of Black residents were free and in the Lower South 1.6 percent. The free lived in the Chesapeake, the Upper South, and the Northeast. The enslaved were concentrated in the cotton states.

Althoff and Reichardt (2024), Figure I, p. 2286, and pp. 2284–2285. Counties by number of enslaved (A) and free (B) Black residents. Regions as defined in n. 4.

After emancipation



Cumulative Southern laws restricting where and for whom Black workers could work, by type, 1860–1920.

- Emancipation let a Black worker quit and take a better offer elsewhere. Planters lost much of their power over pay.
- The new laws took that option back. **Enticement** and **contract-enforcement** laws punished leaving a contract or hiring another employer's worker. **Vagrancy** laws made being out of work a crime. **Emigrant-agent** laws kept out recruiters from other states.
- With fewer places to go, workers had to accept a wage below their **marginal product**, the value of what they produced. Doubling the maximum enticement fine lowered farm wages 1–2 percent.
- The first wave came in 1865. Week 9's Southern labor wedges jump in the next census.

Althoff and Reichardt (2024), Figure IV, p. 2307, and pp. 2286–2287. Naidu (2020), pp. 3 and 15–17, reporting Naidu (2010). The wedge tie is our inference.

The question the paper asks

- The comparison is within Black America. **Enslaved** families descend from people enslaved until the Civil War. **Free** families descend from people freed on average 50–65 years before the war.
- Anything that fell on all Black Americans alike drops out of that comparison. What remains is the added disadvantage of having been enslaved until 1865.
- The authors call the mechanism **systemic discrimination**, greater exposure to discrimination today because of discrimination in the past.

Althoff and Reichardt on their scope

"Our results capture only the additional disadvantage faced by those enslaved until the Civil War, not the broader impact of slavery on all Black Americans regardless of when they gained freedom."

Althoff and Reichardt (2024), pp. 2280 (n. 2), 2281, and 2283.

Following a family from 1870 to 1940

- Comparing families by their status in 1865 takes an ancestor in the 1870 census and a descendant in the 1940 census.
- The census records names, ages, and birthplaces. Nothing in it follows a person from one census to the next.
- Joining two records judged to describe the same man is called a **link**. Every link requires a judgment about how confident we are that we are actually linked the same family over time and space.

A linker has a name, a birthplace, and an approximate birth year, each recorded by a different enumerator decades apart and spelled as the enumerator heard it.

Automated record linkage

Linking two censuses

- **Record linkage** finds the same person in two sources that share no identifier.
- The surviving complete-count censuses from 1850 to 1940 are digitized (1890 was lost in a fire). The authors' Census Linking Project set out to link all 36 pairs of them.
- The paper's first example.

1915 Iowa census	1940 candidate A	1940 candidate B
Paul Coulter, 3, Kansas	Paul Coater, 28, Kansas	Paul Courter, 29, Kansas

To the room. Which would you choose and how sure are you?

Abramitzky, Boustan, Eriksson, Feigenbaum, and Pérez, NBER Working Paper 25825, revised June 2020, pp. 3 and 38–39. The syllabus assigns the version published in the *Journal of Economic Literature* (2021). Pages cited for it are PDF pages of the working paper.

Why linking is hard

- Transcribers spell the same name differently. In two independent transcriptions of the same 1940 census pages, 7–14 percent of first names and 17–32 percent of last names differ by at least one character.
- First names differ most for people born in North Carolina, the one Southern state of the three compared, at 13.3 percent.
- Women's surnames change at marriage so women can rarely be linked.
- Ages are misreported so a match has to allow a year or two of error.
- Many people share a common name. Because the 1940 census was transcribed twice, every person in one copy is in the other. Linking the copies still finds only 43–67 percent of people. Common names cause about 55 percent of the failures and transcription errors the other 45 percent.
- People die, emigrate, or are missed. A failed match says nothing about the person.

Abramitzky et al. (working paper), pp. 4 (n. 3) and 7, Table 3, p. 54, and Table 4, p. 55.

Three families of method

- **Hand linking**. Genealogists with pension files "often spent days considering the links of just one individual." Research assistants make four or five links a minute. Linking every man in the 1900 census to another census by hand would take more than 30 years.
- **ABE** (Abramitzky, Boustan, and Eriksson). Keep records unique on name, birth year, and birthplace. Match exactly, then widen the age window to one and then two years, accepting only unique matches. Run it in both directions and keep the links both agree on.
- Two ways to match names spelled differently. **NYSIIS** rewrites a name by its sound so small spelling differences match, though "Thomas Calemon" and "Thomas Colenan" both become "Tan Calanan." **Jaro–Winkler** distance scores two spellings from 0 for identical upward. "Smith" and "Smyth" score 0.106 and "Frederick" and "Francis" 0.329.
- **EM**, the expectation–maximization algorithm (Abramitzky, Mill, and Pérez). It estimates from the data how often true matches agree on name and age and gives every candidate pair a probability of being the same person.
- **ML**, machine learning (Feigenbaum). A research assistant labels candidate pairs by hand and a model learns which features predict the assistant's choice.

Abramitzky et al. (working paper), pp. 10–20, 14 (n. 22), 23, and 30.

Two kinds of error

- A **false positive** links a man to someone else's record. His outcome is then measured with error.
- A **false negative** misses a true match. The sample shrinks and the men who are left may differ from the men who were missed.

$$\text{PPV} = \frac{\text{correct links}}{\text{all links}} \qquad \text{TPR} = \frac{\text{correct links}}{\text{men we tried to link}}$$

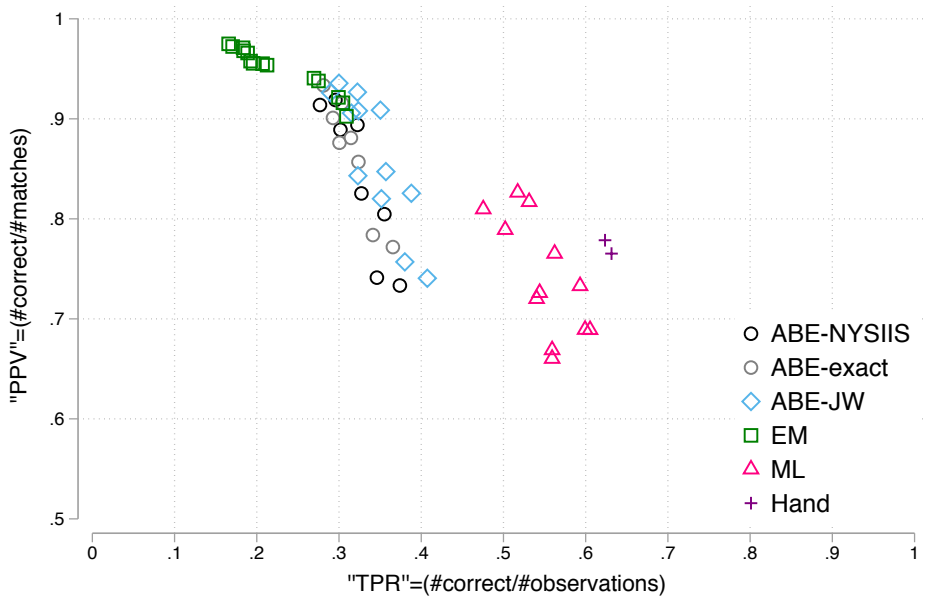
- **PPV**, positive predictive value, is one minus the share of links that are false. **TPR**, true positive rate, is the share of men correctly linked. In these tests every man tried has a known true match.
- Try to link 100 men. The method returns 50 links and 40 are correct. PPV is 40 of 50, or 0.8. TPR is 40 of 100, or 0.4.

Every method chooses a point between few false links and many true ones. A researcher can make that choice openly or leave it implicit.

Abramitzky et al. (working paper), p. 24.

The frontier between accuracy and coverage

Figure 1: Accuracy vs. Efficiency - Comparing Linking Algorithms (UA-1900 census)



	False	Found
ABE, conservative	about 10%	25–30%
ABE, standard	20–25%	about 35%
EM	5–15%	5–30%
ML	17–30%	50–60%
Hand links	about 25%	about 63%

Union Army veterans linked to the 1900 census. A link counts as correct when it matches the one a genealogist made with the veteran's pension file. EM sits upper left with few false links and few true matches found. ML and hand links sit lower right with many of both. Standard ABE links about 11 million of 47 million men in the 1910 census, 23 percent.

Abramitzky et al. (working paper), Figure 1, p. 45, pp. 7–8 (n. 8), 22, 25, and 38. 1,619 records. Each marker is one version of one method.

Human linkers against an algorithm

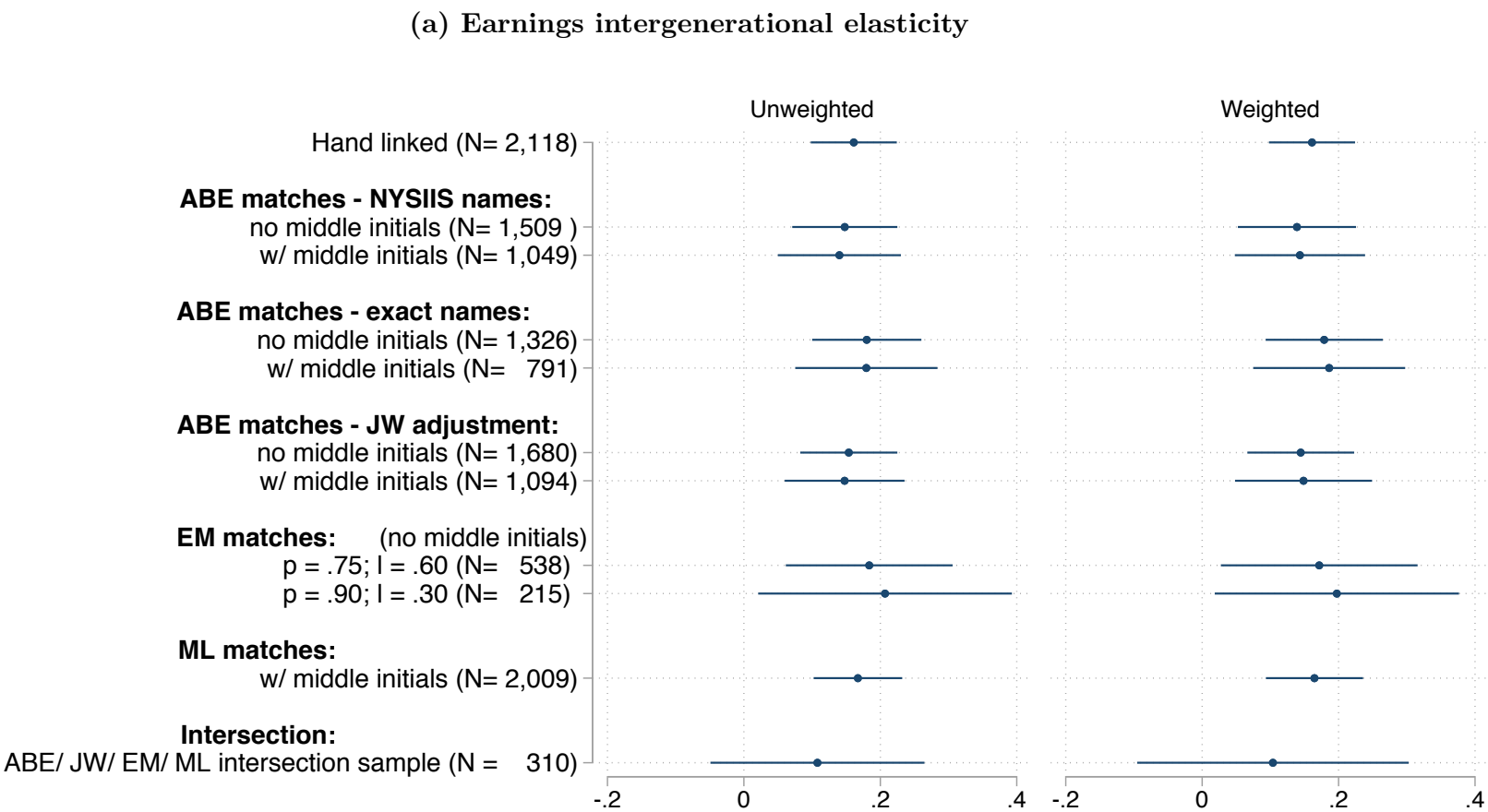
- Humans sit at the many-links, many-errors end because they are more willing to declare a match.
- Given the same name, birth year, and birthplace, humans and the algorithms rarely disagree. For Iowa, Abramitzky and coauthors show an EM version with very few disagreements. Of its links 98 percent matched the human's choice, and it found a quarter of the human's links. All 16 disagreements are listed in the paper.

1915 Iowa record	**Human's 1940 link**	**EM's 1940 link**
Paul Coulter, 1912, Kansas	Paul Coater, 1912	Paul Courter, 1911
John Obman, 1908, Iowa	John Ohmann, 1908	John M Orman, 1907
Oren Miller, 1899, Iowa	Orin Miller, 1900	Oren Mills, 1899
William Noel, 1910, Iowa	William G Noll, 1909	William F Noxsel, 1911

- Each comparison needs a stand-in for the truth. The frontier uses genealogists' links and this table uses human links. Only the twice-transcribed 1940 census gives known answers, and there 99–100 percent of links are correct.

Abramitzky et al. (working paper), pp. 25–26 and 32–33, Figure A.7, p. 64, and Table 4, p. 55.

The answer barely depends on the method



The **intergenerational earnings elasticity** measures persistence. At 0.2 a son whose father earned 10 percent more earned about 2 percent more. Across the single methods it runs from 0.15 to 0.20, every estimate inside the hand-linked estimate's confidence interval.

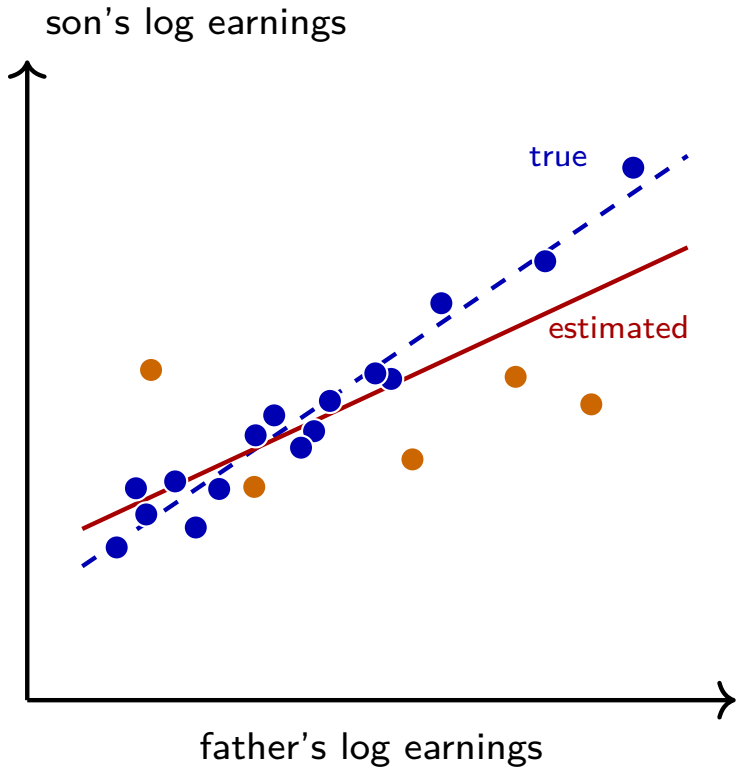
Abramitzky et al. (working paper), Figure 7, panel (a), p. 51, and pp. 35–36. Iowa fathers in 1915, sons in 1940. The five-method intersection sample gives about 0.11 with a wide interval.

Which way linking errors push an estimate

- Linked Union Army men differ little from unlinked men, by at most 0.37 inches of height and 1.7 points of literacy.
- A false link attaches a stranger's 1940 earnings to a father's record. The stranger's earnings are unrelated to the father's, which weakens the measured tie between generations and makes mobility look higher than it was.
- The authors' advice is to "create alternative samples using various automated methods and test the robustness of results across samples." Start with ABE, add EM when the sample is large and ML when it is small. Drop links whose ages differ by more than a year.
- Link only on traits that do not change over time. Linking on county or occupation drops the people who moved or changed jobs, which biases any study of mobility.
- Bailey and coauthors (2017, 2019) read the same kind of evidence more pessimistically. The accuracy of automated links is a live dispute.

Abramitzky et al. (working paper), pp. 4–5, 8, 9 (n. 10), 25 (n. 37), 28, 34–35, and 39, and Table 2, p. 53.

False links pull persistence toward zero



Blue dots are correct links and orange dots false links, in made-up data.

- **Classical measurement error** is noise unrelated to the true value. In the outcome it widens standard errors and leaves the slope unbiased. In the regressor it shrinks the slope toward zero.
- A false link is a different error. Every value is recorded correctly, but the father's record carries a stranger's 1940 earnings in place of his son's. That error is correlated with the father's earnings, so it biases the slope even though it sits in the outcome. If a share π of links are false, the slope converges to $(1-\pi)\beta$.
- With a true elasticity of 0.25 and a PPV of 0.8 the estimate is 0.20, so mobility looks higher than it was.
- If false links fall more on some families, such as those with common names, the bias can go either way.

$$\operatorname{plim} \hat{\beta} = \frac{\operatorname{Cov}(x, \tilde{y})}{\operatorname{Var}(x)} = \frac{(1-\pi)\,\beta\,\operatorname{Var}(x) + \pi \cdot 0}{\operatorname{Var}(x)} = (1-\pi)\,\beta$$

Our derivation, with $\tilde{y}$ the linked son's outcome and false links drawn from the same distribution. Abramitzky et al. (working paper), pp. 34–35. Althoff and Reichardt find measurement error shrinks their gaps by about 9 percent (p. 2301).

The links behind Althoff and Reichardt

- They use the Census Linking Project's method, ABE with NYSIIS names, exact birth year and state, and links unique within race. Only men are linked.
- An 1870–1940 family tree takes 3.7 links on average. "We link 10% of families in 1870 to at least one descendant in 1940."
- From 1870 to 1880 they link 18.5 percent of men born free in the North and 17.1 percent of men born in the South, most of them formerly enslaved.
- The linked look like the population. Linked Enslaved ancestors were 20.4 percent literate in 1870, the Black census rate, and linked Free ancestors 65.1 percent literate in 1860 against 66.8 percent in the census.
- A separate link from 1940 to death records around 2000 covers 21,059 descendants of Enslaved families and 1,591 of Free families.

Althoff and Reichardt (2024), pp. 2292–2295 and n. 11. Abramitzky et al. (working paper) has no evidence on linking Black Americans in particular. Its one note is that self-reported race can shift (p. 5, n. 4).

The evidence from linked families

Free and Enslaved in the census

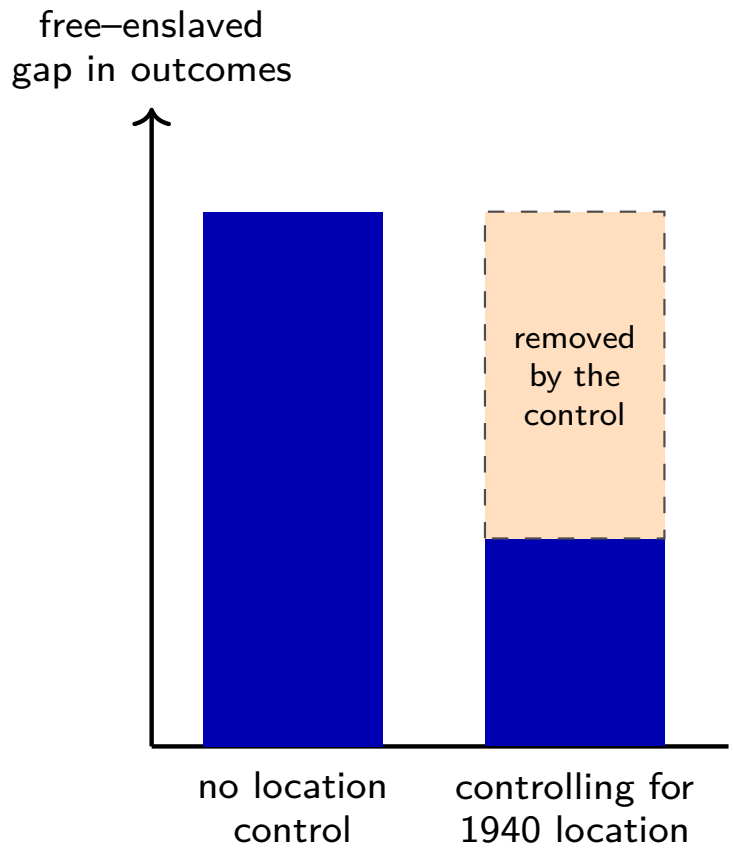
With links in hand, each family can be sorted by the status of its ancestor in the 1860s.

- A family is **Free** if its ancestor appeared in the 1850 or 1860 census, which listed only free people, or was born in a state that had already abolished slavery.
- A family is **Enslaved** if its ancestor was born in a slave state before 1865 and cannot be found in 1850 or 1860. Only 6 percent of Southern Black people were free in 1860 so at least 94 percent of this group were enslaved.
- Status follows the father's line.
- Surnames also carry status. For example, the surname Freedman did not exist in 1860. A surname alone gives the probability that a family was Enslaved, with no links needed.
- The 1940 sample is Black men aged 20–54, 155,813 from Enslaved families and 9,325 from Free families.

Althoff and Reichardt (2024), pp. 2288–2290 and 2294–2295, and nn. 7 and 13.

Location is a bad control

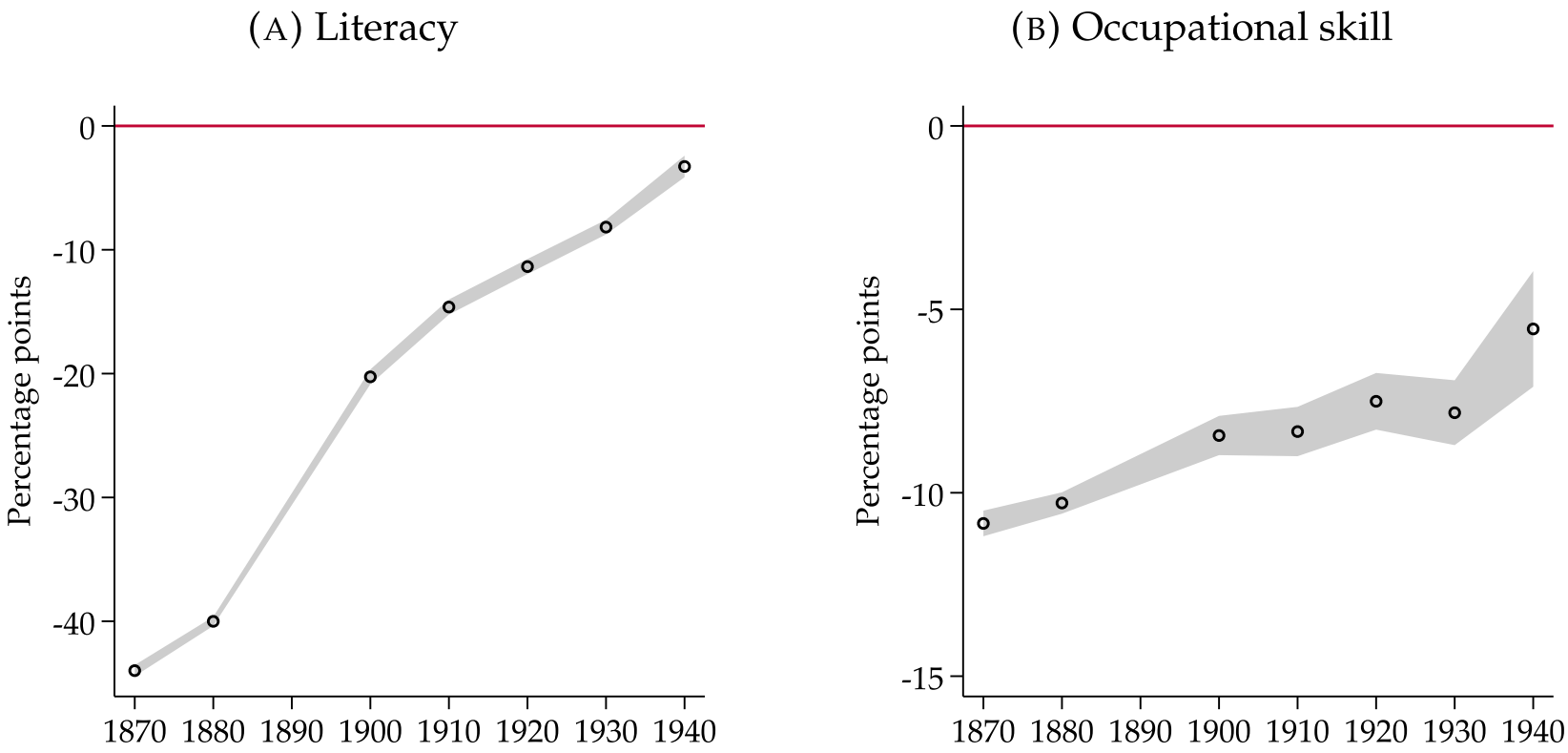
- In the authors' model a family's outcome depends on its ability, on the place where it lives, and on the last generation's outcome. Slavery lowers the starting point.
- A **bad control** is a variable that the treatment itself changes. Controlling for it removes part of the effect being measured.
- Where a family lived in 1940 is where slavery and Jim Crow had put it. A regression that controls for 1940 location understates the legacy.
- The authors contrast their approach with Sacerdote (2005), who measured slavery's effect conditional on location. Their headline gap controls only for age.



Schematic. The orange part is the effect of where slavery and Jim Crow put families, which the control wrongly removes.

Althoff and Reichardt (2024), equations (1)–(2) and (5), pp. 2296–2298.

The gap narrowed slowly from 1870 to 1940



Each point is the Enslaved minus Free gap in that census year. Panel A is literacy, panel B the share in skilled jobs. The literacy gap fell from more than 40 points in 1870 to about 5 in 1940. White families with nothing in 1870 closed a 90-point gap to under 10 within 30 years.

Althoff and Reichardt (2024), Figure III, p. 2299, and pp. 2298 and 2300. 95 percent bands clustered by family. No 1890 census survives. In 1940 literate means two or more grades of school completed.

The gap in 1940 and in 2023

1940 census	Enslaved minus Free	Mean	Share of Black–white gap
Years of schooling	−1.59 (0.05)	5.99	42%
Wage income ($)	−145.92 (6.13)	381.20	29%
Homeownership (%)	−7.24 (0.62)	29.25	36%
House value, owners ($)	−694.69 (65.85)	1,371.95	37%
2023 credit file			
Predicted total income ($)	−12,487.72 (1,147.08)	92,068.48	23%
Predicted disposable income ($)	−11,623.44 (920.12)	52,773.74	26%
Credit score (300–850)	−33.15 (2.07)	630.41	40%
Hourly job (share)	0.05 (0.01)	0.72	69%

- The last column divides the Enslaved–Free gap by the gap between all Black and all white men. In 1940 descendants of the Enslaved had 1.6 fewer years of schooling on an average of 6.
- In 2023 status comes from surnames weighted to the 1870 surname mix. The gap is $11,620 of predicted disposable income, 22 percent of the average. Using surnames as an instrument for linked 1940 status, to correct misclassification, gives −1.67 (0.15), close to −1.59.

Althoff and Reichardt (2024), Tables I and II, pp. 2300–2302, and p. 2293. Sample sizes are 46,971–164,357 in 1940 by outcome and 547,189 in 2023. The 2023 incomes are the bureau's predictions and race is predicted from names and ZIP code.

Why the place of enslavement can be treated as assigned

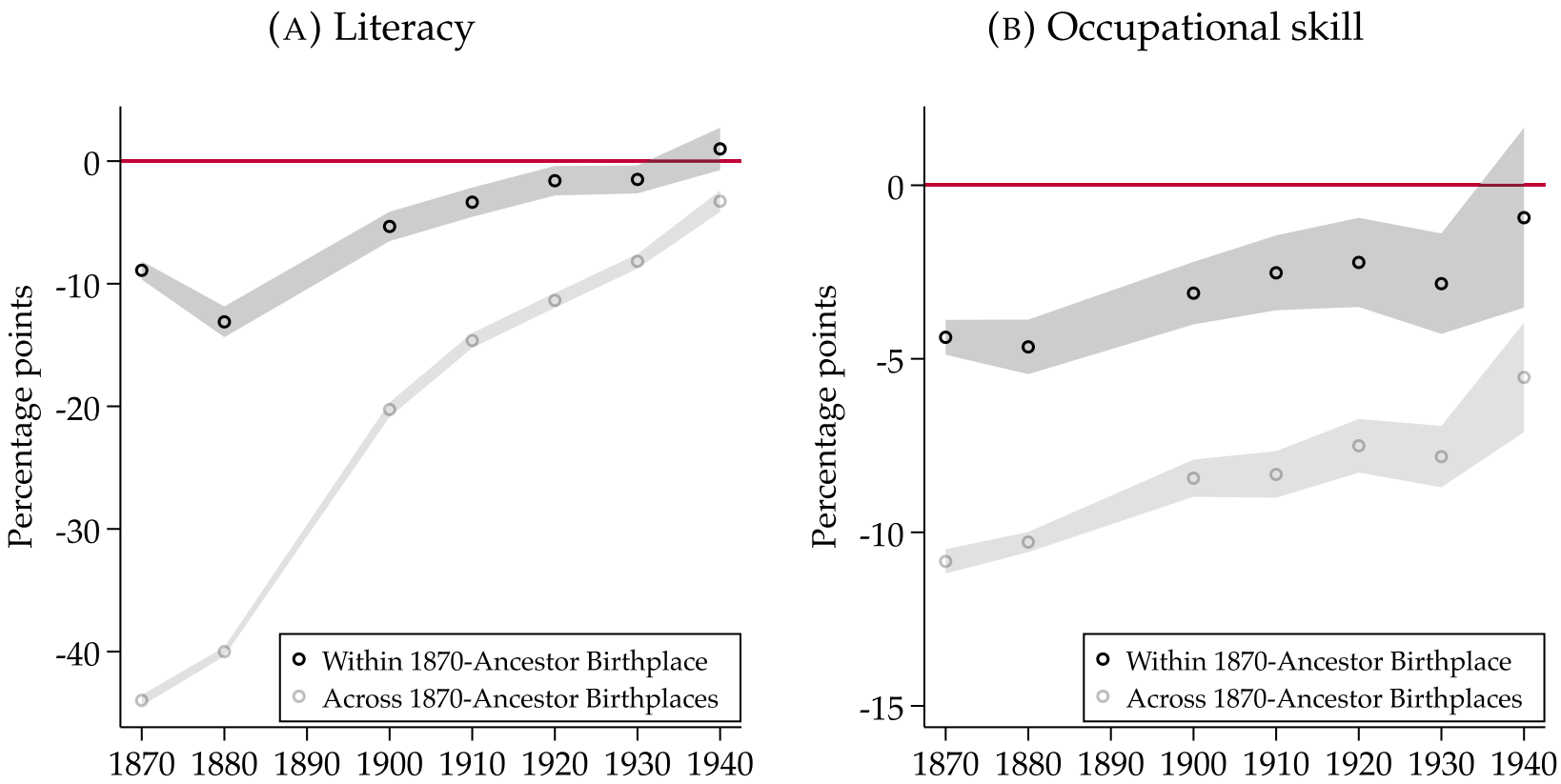
Althoff and Reichardt's identifying assumption

"The enslaved population was not selected into location." … "The lack of free movement among enslaved people lends plausibility to the key identifying assumption … The main threat to our identification assumption is the possibility of selective forced migration of enslaved people."

- About half of forced moves came with slaveholders who migrated with the people they held and half through the domestic slave trade.
- The trade selected by age and sex only for sugar, which held 6 percent of the rural enslaved. Trade into cotton and tobacco, which employed about 87 percent of enslaved farm workers, did not.
- In 1860 nothing measured jumps at the state borders the design uses, from the enslaved share and crops to farm values and white wealth.
- Week 3's Dell used the mita boundary, set by distance and elevation. Here assignment ran on where a planter happened to buy or move.

Althoff and Reichardt (2024), pp. 2304, 2310–2311, and 2318, and n. 18.

Within the ancestor's state the gap was near zero by 1940



Dark points compare families whose ancestors were born in the same state, light points all families. Comparing within states removes at least two-thirds of the gap, so most of it came from where families were freed.

Althoff and Reichardt (2024), Figure V, p. 2308, pp. 2305 and 2309, and n. 15. State effects run from 0.84 years of schooling below the Southern average in Louisiana to 2.28 above it in Missouri.

Measuring Jim Crow

The HRR index (Baker 2022)

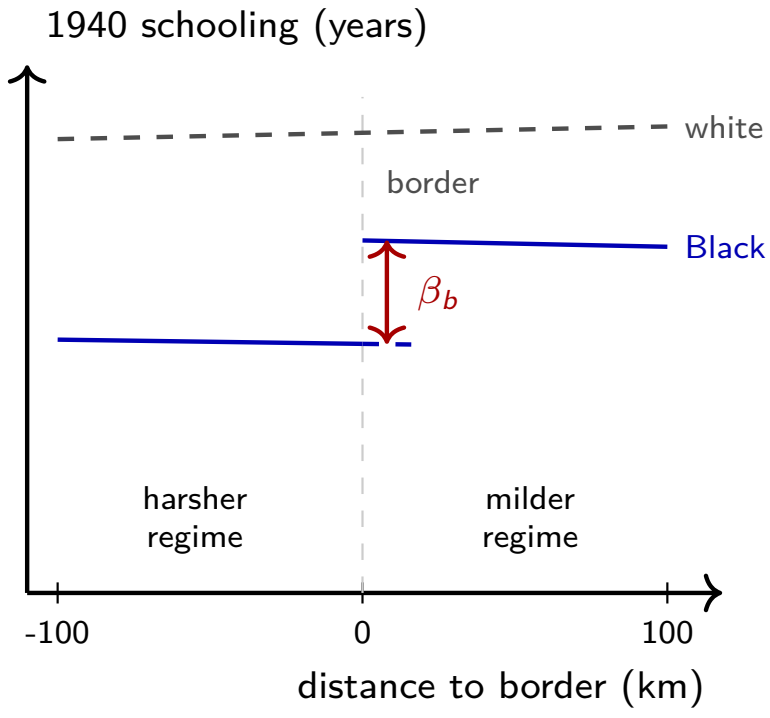
A state's **historical racial regime** combines four measures.

- The share of its population enslaved in 1860.
- The share of its sharecroppers who were Black in 1930. A **sharecropper** farmed another man's land for a share of the crop.
- Its number of devices for keeping Black citizens from voting, such as poll taxes and literacy tests.
- The share of its congressmen who signed the 1956 Southern Manifesto against school desegregation.

- Differences across a border run from near 0 to about 2 index points.
- The authors' own five-part Jim Crow index correlates 0.99 with it, the count of Jim Crow laws 0.74, and a 1940 index of Black school quality -0.94.
- Woodward (1955) wrote that there was "more Jim Crowism practiced in the South than there [were] Jim Crow laws on the books."

Althoff and Reichardt (2024), pp. 2291–2292, and Figure VII, p. 2315.

The border design



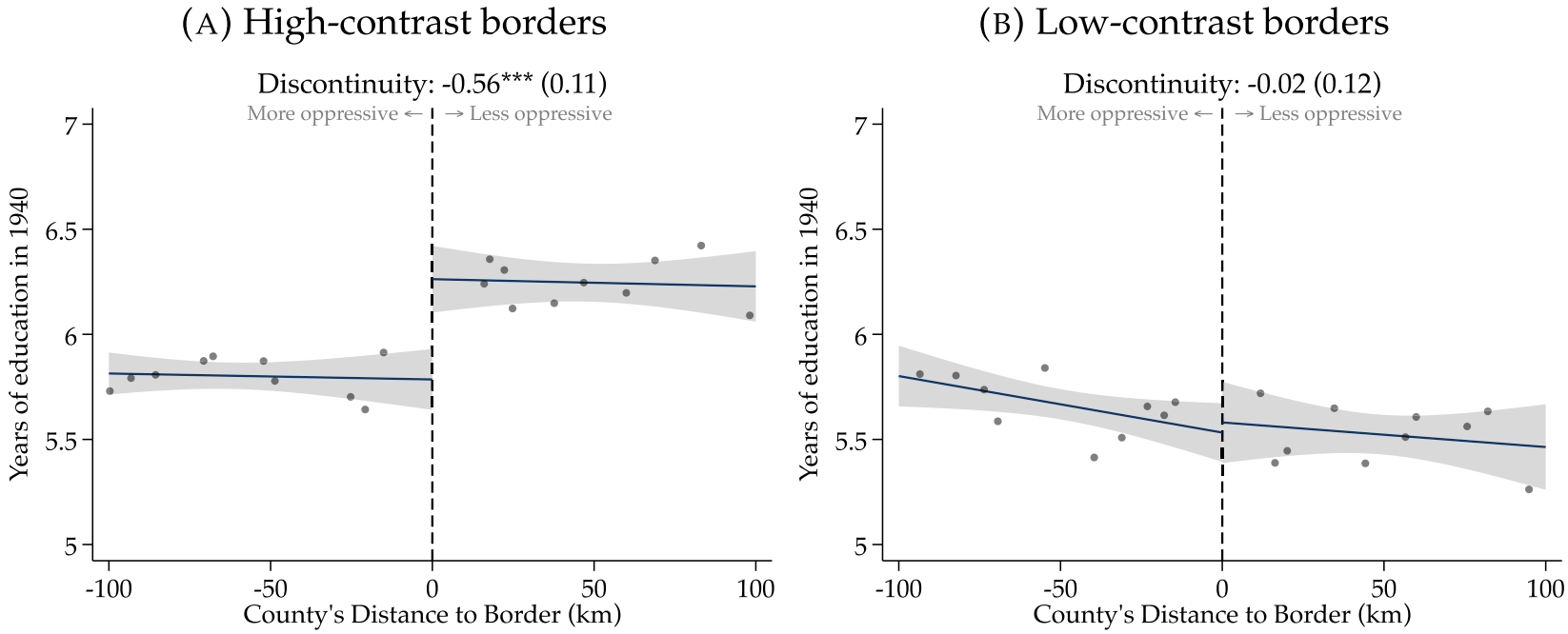
Schematic of one border. White families are the placebo.

- A **regression discontinuity** compares families on either side of a state border by where the ancestor lived in 1870.
- Harsh is 1 if that county lay on the side with the harsher regime. dist is its distance to the border.
- β_b is the jump at border b. The distance terms let schooling trend smoothly on each side.
- The **bandwidth**, how far from the border a county may lie.
- **High-contrast** borders differ by more than the median 0.71 on the HRR index. Low-contrast borders differ by less.

$$y_{ib}^{1940} = \alpha_b + \beta_b \,\text{Harsh}_{ib} + \upsilon_b \,\text{dist}_{ib} + \psi_b \,\text{dist}_{ib} \times \text{Harsh}_{ib} + \varepsilon_{ib}$$

Althoff and Reichardt (2024), equation (9), p. 2313, where the indicator is called High, and pp. 2317 and 2320. Week 3's Dell (2010) used the same design at the mita boundary.

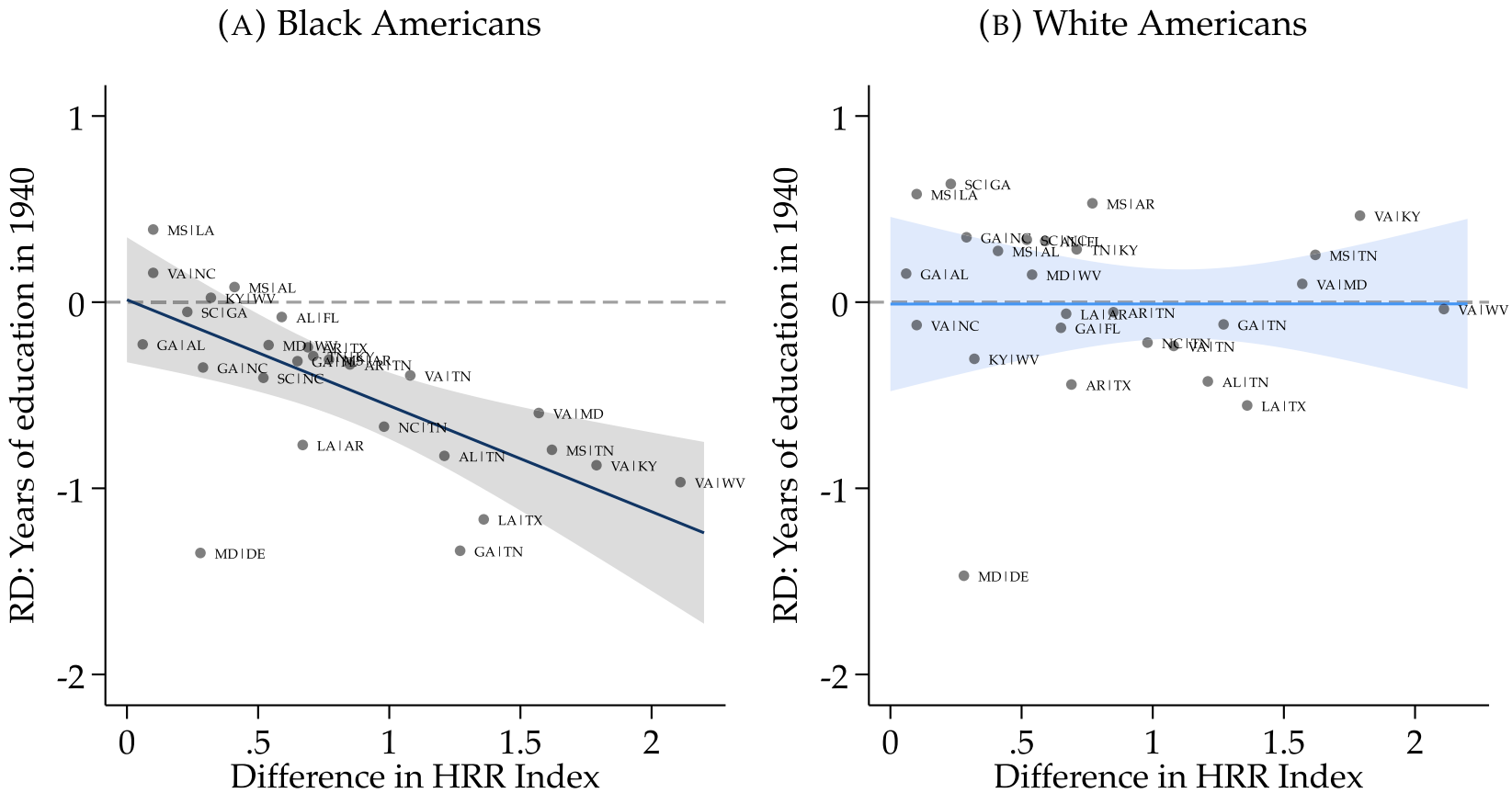
Black schooling jumps at borders between harsh and mild regimes



Left of zero is the harsher state. At high-contrast borders families freed on the harsher side had 0.56 fewer years of schooling in 1940, 10 percent of the average. At low-contrast borders the jump is -0.02. Families freed in Louisiana had 1.2 fewer years than families freed just across the border in Texas.

Althoff and Reichardt (2024), Figure VIII, p. 2317, and pp. 2282, 2315, and 2318. Pooled, 100 km bandwidth. Each dot is a decile of the border population. Across bandwidths of 100–350 km the estimate runs from -0.61 to -0.46 (p. 2320).

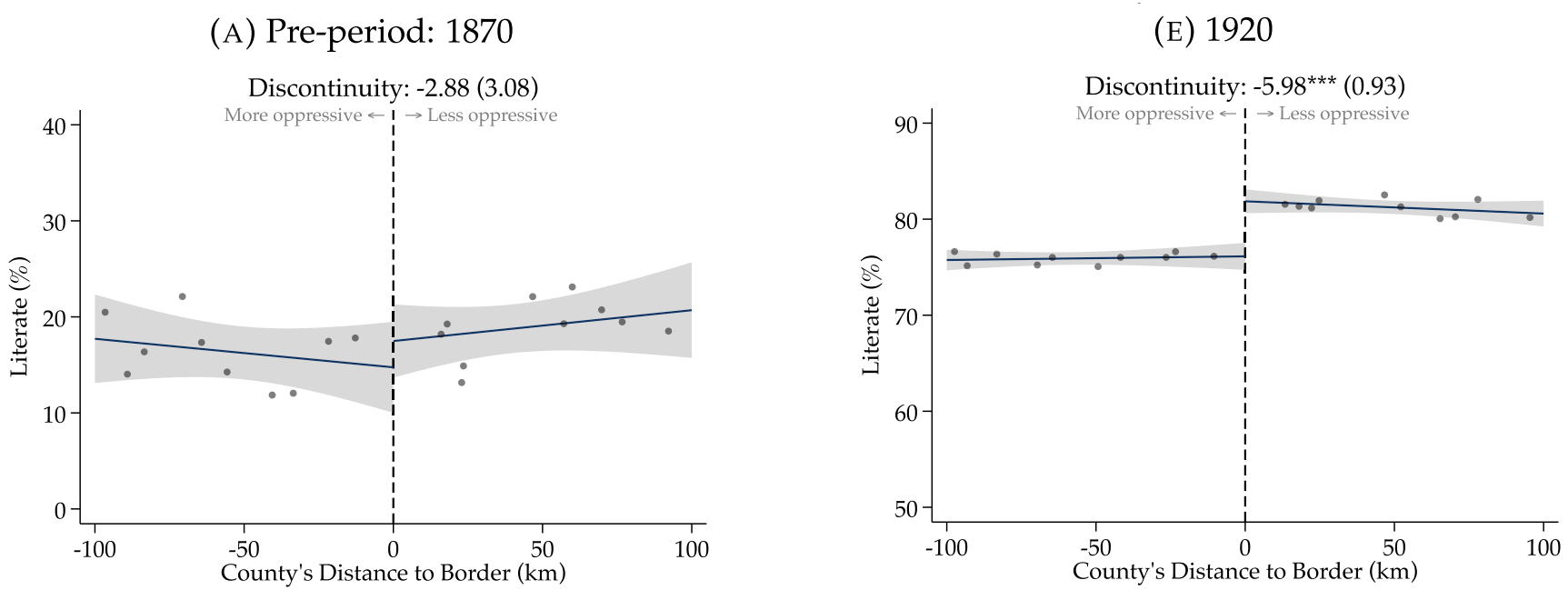
The border jump tracks the Jim Crow gap for Black families only



Each point is one border. For Black families the jump falls from about 0 to about -1.2 years as the difference in the HRR index rises to about 2. For white families it stays near zero. In the border regions the richest tenth of white families gained more where the regime was harsher. The authors call Jim Crow "an extractive institution."

Althoff and Reichardt (2024), Figure VII, p. 2315, and p. 2316. Bandwidth of 350 km with empirical-Bayes shrinkage. Border jumps account for the state effects with slope 1.12 and R^2 0.77 (Figure VI, p. 2314).

The gap at the border opened after 1870

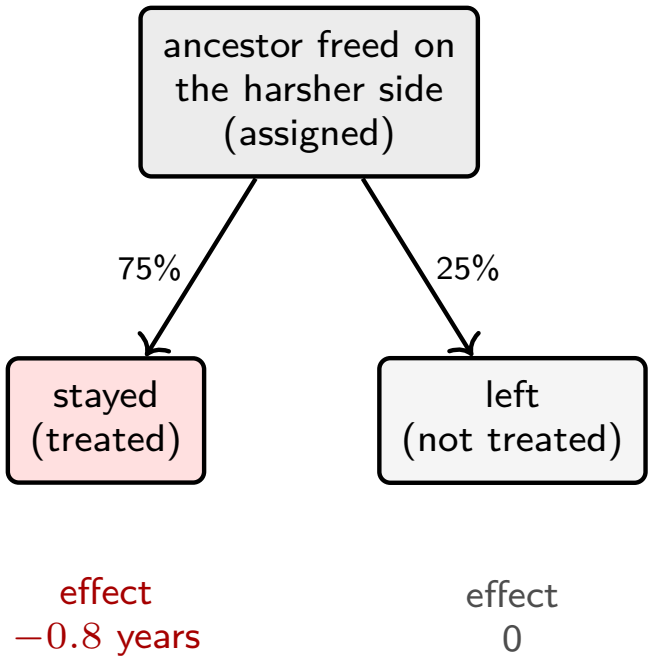


	1870	1880	1900	1910	1920	1930
Jump (points)	−2.88	−3.75	−4.90	−4.71	−5.98	−2.74
	(3.08)	(1.57)	(1.03)	(1.10)	(0.93)	(0.86)

The jump is literacy on the harsher side minus the milder side. Men counted in 1870 were schooled under slavery, so their literacy cannot reflect the postwar regime. In 1870 the jump is small and imprecise. By 1880 a gap has opened and it is largest in 1920.

Althoff and Reichardt (2024), Figure IX, p. 2319, and pp. 2315–2316 and 2318. High-contrast borders. The text gives 4.6 points for 1930 (p. 2318). The table uses the figure's label.

Intent to treat and the average treatment effect



$$\text{ITT} = 0.75 \times (-0.8) = -0.6$$

Our illustration with made-up numbers.

- The **intent-to-treat effect** (ITT) compares groups by what they were assigned, whatever they did afterward. Here that is the side of the border where the ancestor was freed, wherever the family lived in 1940.
- The **average treatment effect** (ATE) is the average effect of actually receiving the treatment. Here that is living under the harsher regime from 1865 to 1940.
- When some of the assigned never take the treatment, the ITT is smaller than the effect of the treatment. Families who left the harsh side dilute it.
- If those who left were unaffected, dividing the ITT by the share who stayed gives the effect on stayers, $-0.6/0.75 = -0.8$. That equals the ATE only if the effect would have been the same for every family.

Althoff and Reichardt (2024), pp. 2297 and 2305. Their equation (4) defines the average effect in their model. The 75 percent echoes the share of Louisiana families still in Louisiana in 1940 (p. 2306).

Schools carried the effect



At the bus station in Durham, North Carolina, May 1940.

- Education laws were 283 of the Jim Crow laws. States with more of them had worse Black schools (correlation -0.70).
- Black teacher pay, school attendance, and voter turnout all drop at the borders. Attendance and turnout show no gap before Jim Crow.
- Harsher states made farming likelier in 1940 without a significant effect on wages.
- Skin tone does not change the gap, which rules out white ancestry. Free families who owned nothing still did better, which rules out inherited wealth. Lynchings do not jump at the borders.
- Week 8's Troesken found white voters paying for water mains into Black neighborhoods because typhoid crossed the color line. Black schools carried no such risk to white households and were underfunded (our contrast).

Althoff and Reichardt (2024), pp. 2283, 2309–2310, 2315, and 2318–2322. Photograph by Jack Delano, Farm Security Administration, Library of Congress (ppmsc.00199), public domain.

What Althoff and Reichardt show and what they do not

Being enslaved until 1865 carried a cost that lasted to 1940 and into 2023. It ran through the states where families were freed and through the schooling those states withheld. At state borders the cost appears for Black families and not for white ones, and only after Jim Crow began.

- The design measures the added cost of having been enslaved until the war. The total effect of slavery on Black Americans is outside it.
- Every Southern state adopted Jim Crow so the border estimates are "a lower bound for Jim Crow's importance."
- Only men are linked. Women's surnames changed at marriage.
- Education is one channel among several. The count of laws by type does not say which mattered most.
- Why states chose harsher or milder regimes is left for future work.

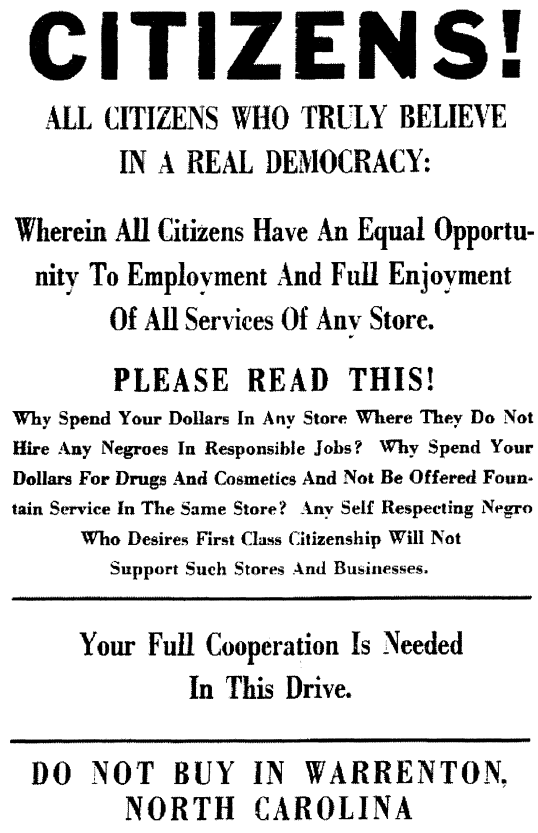
Althoff and Reichardt (2024), pp. 2281, 2320, 2322 (n. 23), and 2324.

Wright on the Civil Rights Revolution

Warren County, North Carolina, June 1963

- Wright rode a bus for 40 hours from Michigan to join a voter-registration project in Warren County, a Black-majority county. His local sponsor, Eva Clayton, was elected to Congress in 1992. He missed the March on Washington that August because he did not see its importance.

- Gavin Aright argues that the Civil Rights Revolution was "a prime example of discontinuous historical change." In 1963 the Kennedy administration planned a moderate approach to public accommodations, limited to interstate commerce. By the summer of 1966 the South was "utterly transformed."



CITIZENS!

ALL CITIZENS WHO TRULY BELIEVE IN A REAL DEMOCRACY:

Wherein All Citizens Have An Equal Opportunity To Employment And Full Enjoyment Of All Services Of Any Store.

PLEASE READ THIS!

Why Spend Your Dollars In Any Store Where They Do Not Hire Any Negroes In Responsible Jobs? Why Spend Your Dollars For Drugs And Cosmetics And Not Be Offered Fountain Service In The Same Store? Any Self Respecting Negro Who Desires First Class Citizenship Will Not Support Such Stores And Businesses.

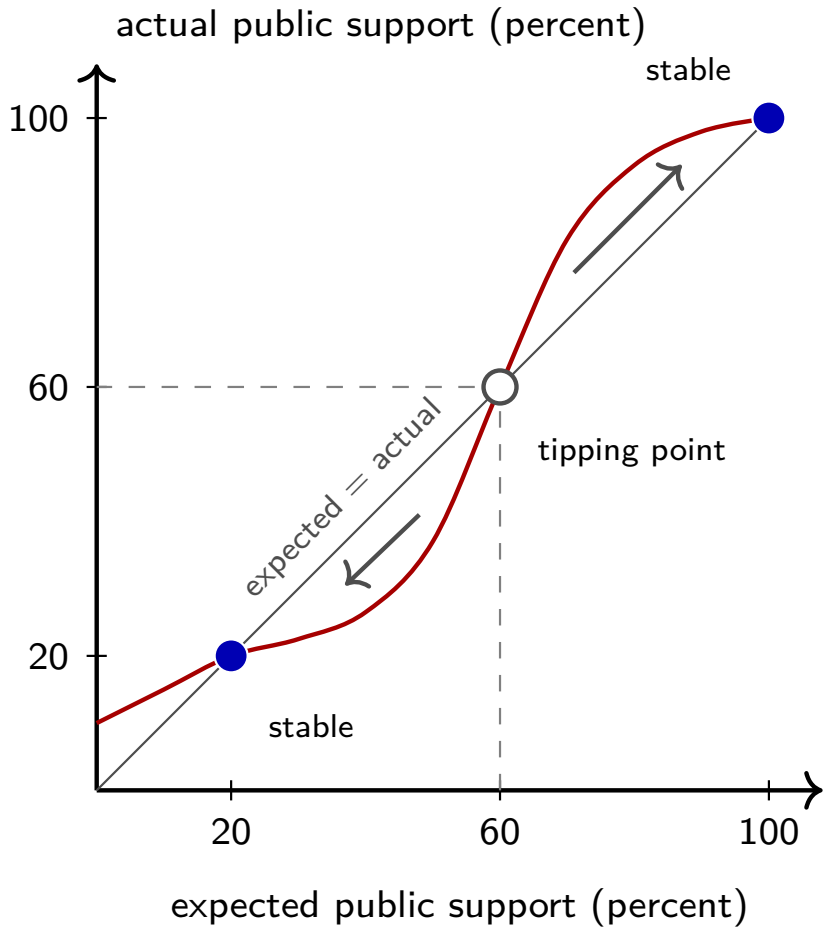
Your Full Cooperation Is Needed In This Drive.

DO NOT BUY IN WARRENTON, NORTH CAROLINA

Boycott flier, Warrenton, summer 1963. It asks for jobs before fountain service.

Wright (1999), pp. 267–270 and 276, and Figure 3, p. 275.

Preference falsification



- **Preference falsification** is saying in public what you do not believe in private because of what you expect others to say.
- In Kuran's model the red **propagation curve** gives the public support that results from each level of expected support. Where it meets the gray line, expectations are fulfilled.
- Expect 50 percent and the curve gives 37. Expect 37 and it gives about 25, and so on down to 20. Start above 60 and the same steps climb to 100. The crossing at 60 is the **tipping point**.
- "After the revolution, nearly everyone will claim to have been on the right side early on."

Redrawn from Wright's Figure 1.

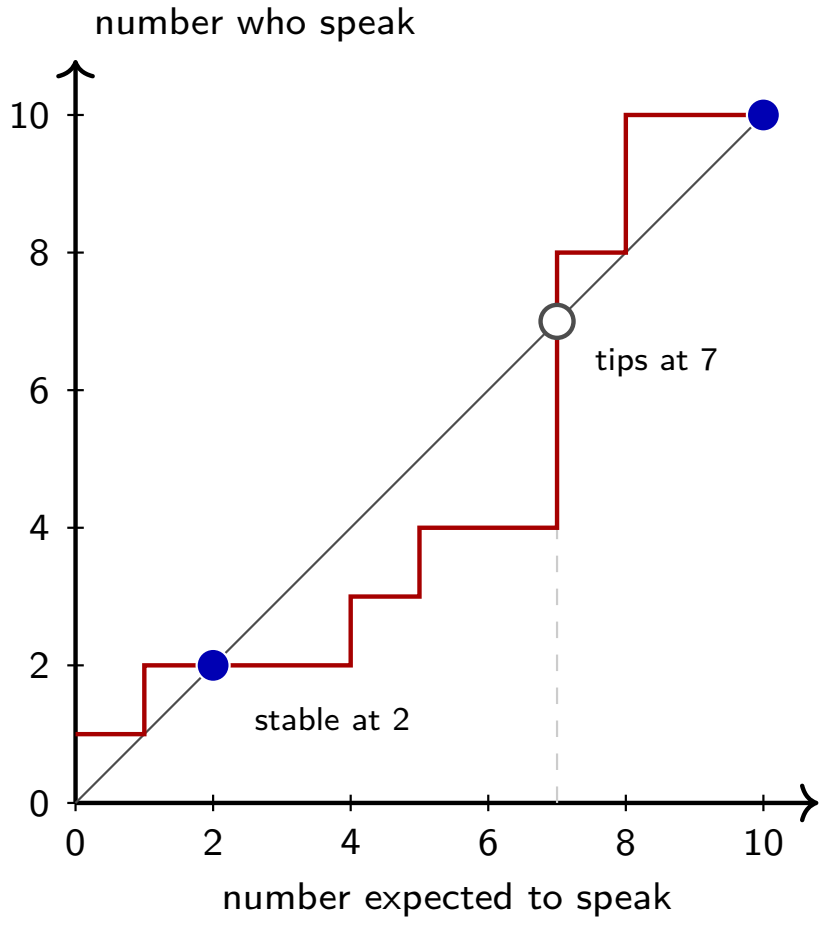
Wright (1999), pp. 270–271. Kuran, *Private Truths, Public Lies* (1995).

A ten-person threshold example

Person	Threshold
1	0
2	1
3	4
4	5
5–8	7
9–10	8

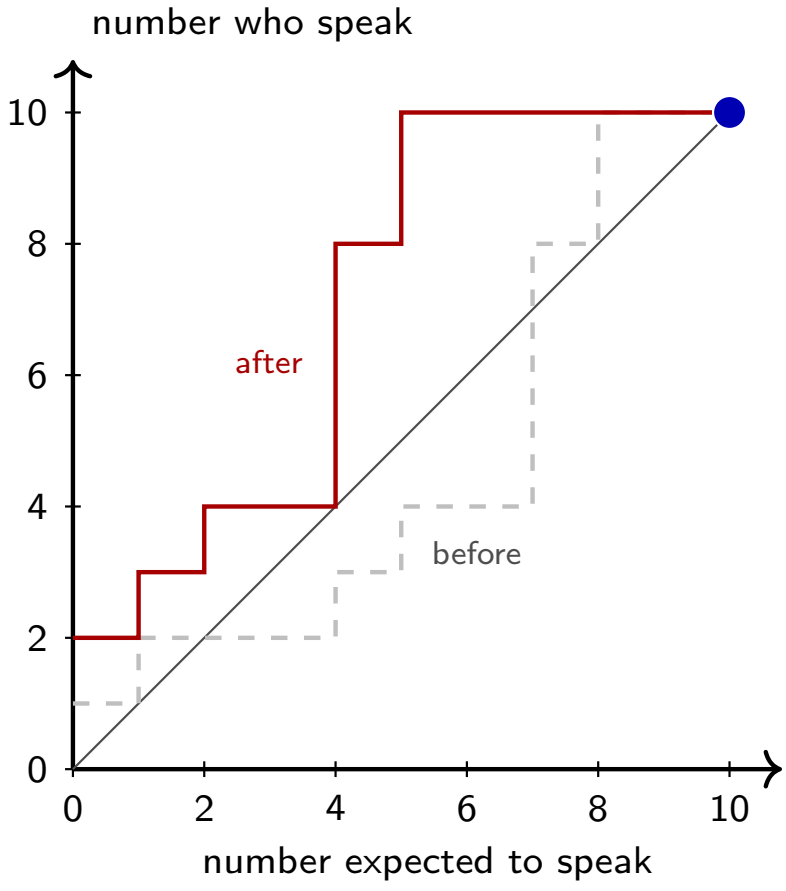
A threshold is how many others a person must expect to speak before speaking.

- If two are expected to speak, two speak. The room rests at 20 percent.
- If seven are expected to speak, eight speak, which brings in the last two. The room ends at ten of ten.



Our example, from the 2025 lecture.

A rule that binds everyone removes the low resting point



- A law that every business must obey lowers the risk of acting first. In the example every threshold falls by three.
- The new staircase lies above the gray line everywhere below ten, so the resting point at 2 is gone. From any start the room climbs to ten of ten.
- Chapel Hill's motels and restaurants could not settle integration locally. The federal law bound all of them at once.

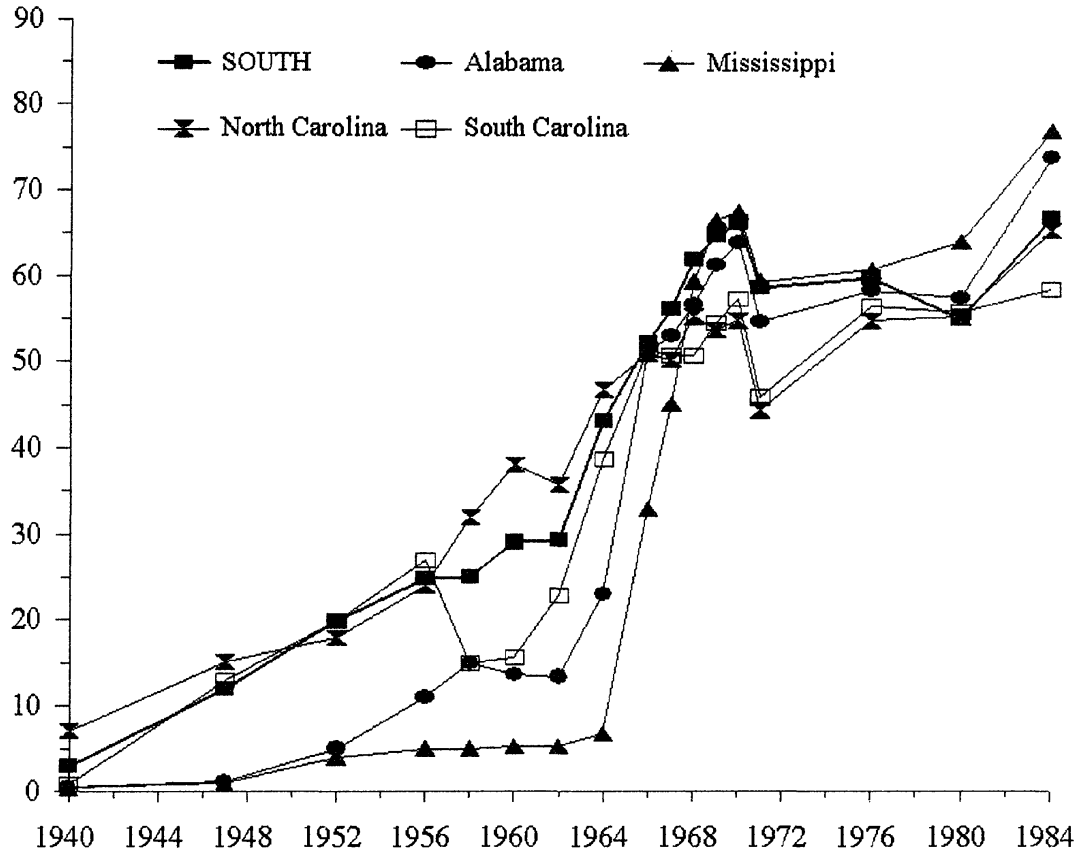
Our example. Thresholds after the law are 0, 0, 1, 2, 4, 4, 4, 4, 5, and 5. Wright (1999), p. 273.

Evidence Wright reads as preference falsification

- In 1964 three of Chapel Hill's five motels refused Black guests and 32 percent of its restaurants discriminated. No local settlement held until federal law decided the question.
- "Local leaders and business proprietors privately welcomed this intervention, though they would neither say so in public nor support a local ordinance to the same effect."
- Black voter registration "almost immediately ended the extreme racist rhetoric that until that time had been the hallmark of southern politics." Strom Thurmond ran for president in 1948 as the nominee of the Dixiecrats, a segregationist party that split from the Democrats. In 1971 he became the first Southern senator with a Black staff aide.
- Wright interprets the speed of these changes as evidence that many white Southerners had been falsifying their preferences.

Wright (1999), pp. 273–274 and nn. 11 and 15.

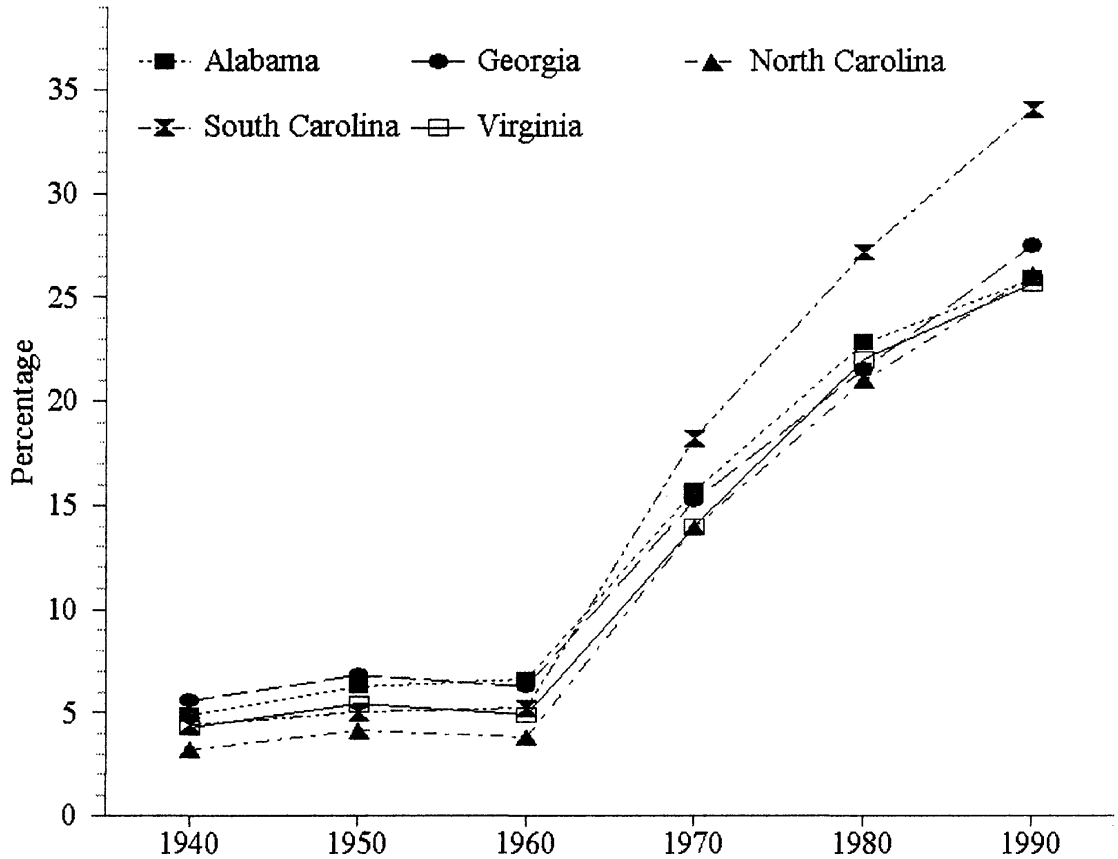
Registration rose fastest in the years around the Voting Rights Act, 1965



Across the South about 29 percent of voting-age Black residents were registered in 1960, 43 in 1964, and 62 in 1968. In Mississippi the share was under 7 percent until 1964 and about 60 by 1968. The Voting Rights Act came out of the movement so the figure dates the change without identifying its cause.

Wright (1999), Figure 2, p. 273. Percent registered, 1940–1984. Voter Education Project and Stanley. The dip near 1970 probably reflects revised population estimates. Readings approximate.

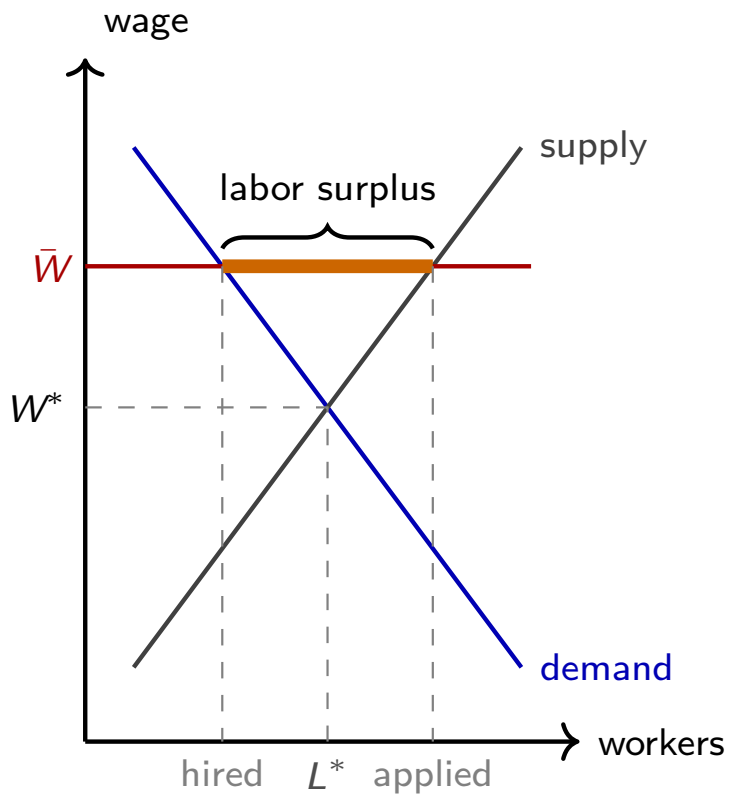
Black employment in Southern textiles jumped after 1960



The Black share of textile workers was about 3–7 percent through 1960, then "jumped to 15 percent between 1960 and 1970" and reached about 25–34 percent by 1990. Drawing on Heckman and Payner and on Minchin, Wright names three causes. Labor markets were tight, government contracts brought federal pressure, and Black workers applied once the 1964 Act passed.

Wright (1999), Figure 4, p. 277, and p. 276. Five Southern states, census decennial volumes. Readings approximate.

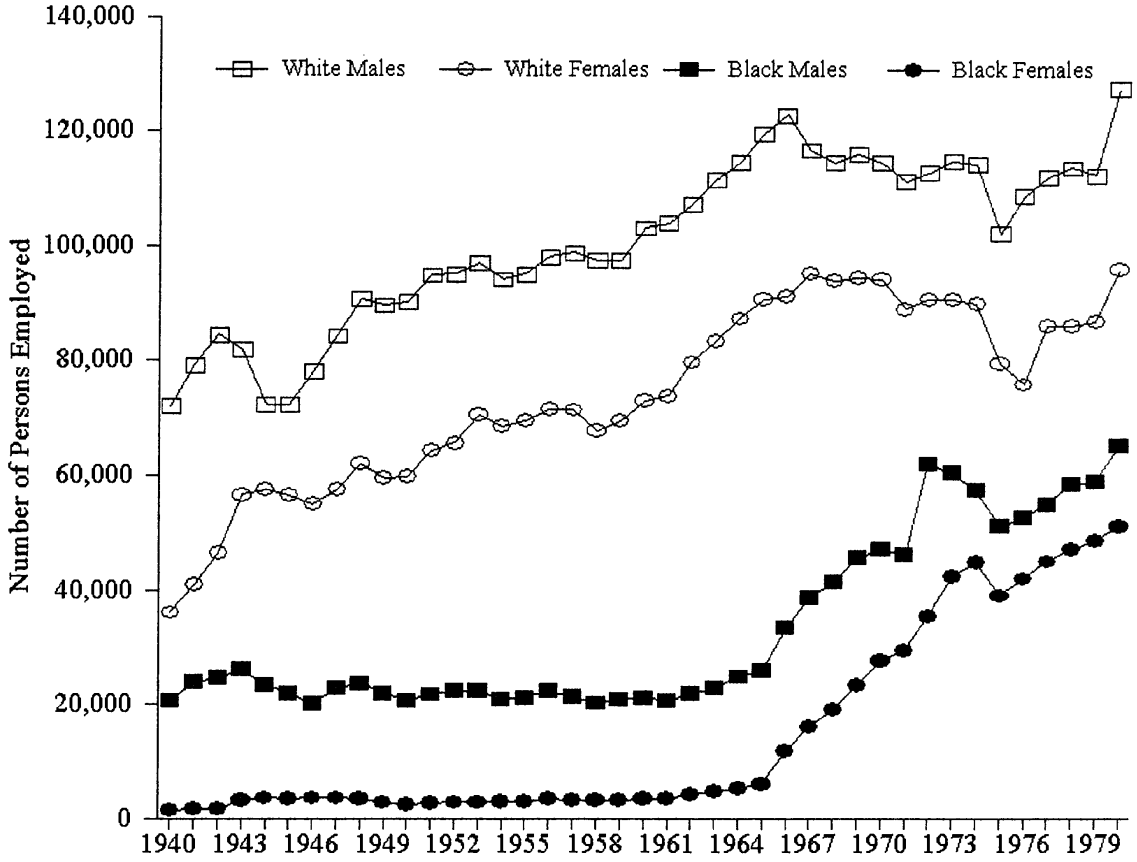
Why exclusion lasted



Redrawn from the 2025 lecture.
Wright (1999), pp. 278–279 and n. 20.

- New Deal labor policy held Southern industrial wages at $\bar{W}$, above the wage W^* that would have cleared the market.
- More people applied than were hired. Employers could choose, "and in that historical era, the obvious basis for selection was race."
- "An entire generation of southern industrial jobs was reserved almost exclusively for whites."
- The gap between $\bar{W}$ and W^* is a labor-market wedge of the kind Week 9 measured (our inference).

Who got the new manufacturing jobs in South Carolina



"Between 1940 and 1965, more than 90 percent of new manufacturing jobs went to whites, in what had been a black-majority state as late as 1920." Black men's employment stayed near 20,000 from 1943 to 1964 and Black women's below 5,000. By 1980 the two were about 65,000 and 51,000.

Wright (1999), Figure 5, p. 279. South Carolina Department of Labor, *Annual Reports*. Readings approximate.

Conditioning on the outcome of discrimination hides it

- Heckman and Payner (1989), who studied Black employment in South Carolina, adjust for "qualifications," meaning quality-adjusted schooling. After the adjustment textiles are the only South Carolina industry where Black men were underrepresented before 1960.
- Wright replies that qualifications were set by the jobs on offer so the adjustment removes the discrimination it was meant to measure.
- Some other examples...
  - Controlling for the ball and chain, the prisoner runs as fast as anyone.
  - Controlling for hours of childcare, women are paid the same as men.
  - Controlling for schooling, immigrants are paid the same as natives.

Wright (1999), pp. 279–280 and n. 22. Althoff and Reichardt (2024), p. 2298.

Schooling followed the jobs

- Smith and Welch (1989) explain Black economic progress by school quality. Wright replies that schooling responded to the jobs open to Black workers, so it cannot be treated as an independent cause ("investments in education cannot be taken as exogenous to the labor market").
- In the 1920s and 1930s the Rosenwald Fund surveyed "Negro jobs" to fit Black high-school curricula to them. The Black high school in Greenville, a textile center, taught no textiles.
- In 1957–58 Ford's plants in Atlanta, Dallas, Memphis, and Norfolk had no Black employees. One could blame a lack of "qualified applicants," but Black high schools said they taught to the jobs available.
- "We see a positive feedback between these two components of black economic progress," jobs and schooling.
- Disfranchisement after 1900 went with a collapse in Black school funding. Althoff and Reichardt find Black school quality drops at harsher borders.

Wright (1999), pp. 273–274 (n. 12) and 280–281. Althoff and Reichardt (2024), pp. 2321–2322.

Migration out of the South reversed

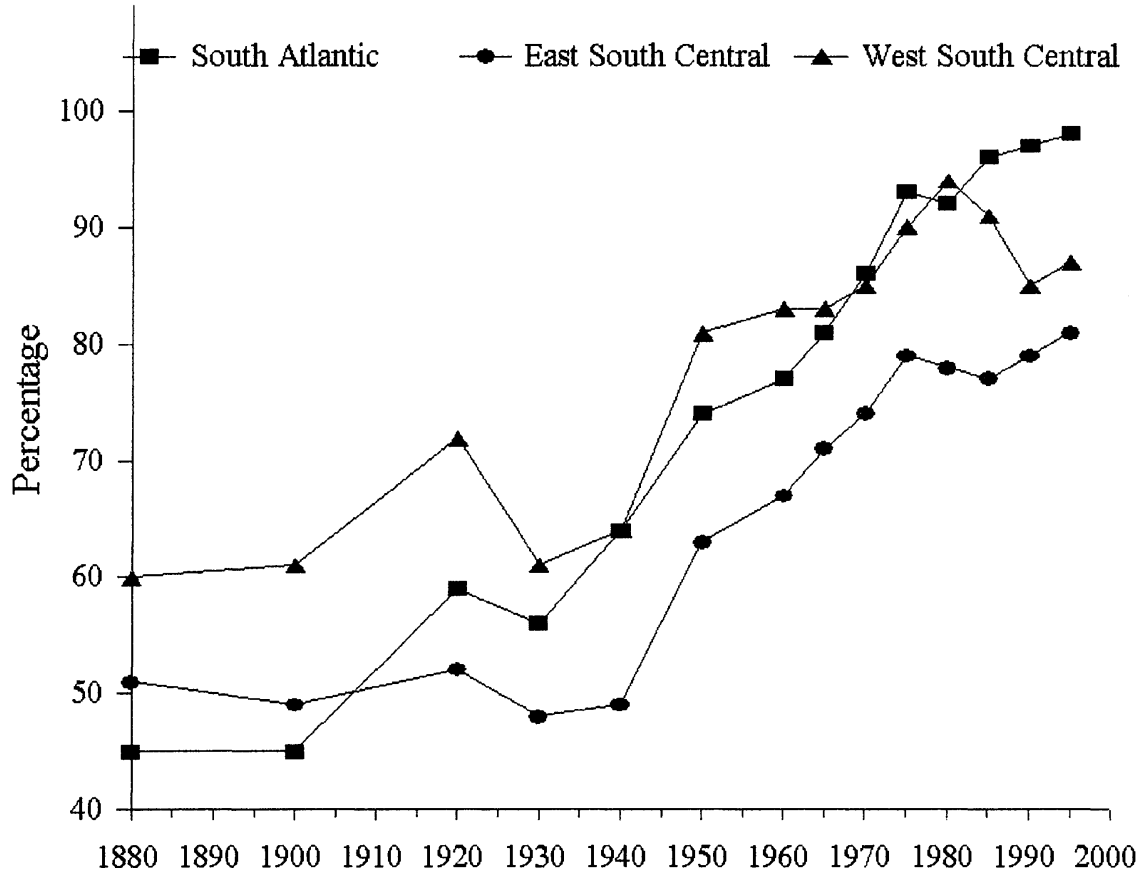
Thousands	White	Black
1910–1920	−663	−555
1920–1930	−704	−903
1930–1940	−558	−408
1940–1950	−866	−1,581
1950–1960	−234	−1,202
1960–1970	1,807	−1,380
1970–1980	3,556	206
1980–1985	1,810	87
1985–1990	971	325
1990–1995	754	276

Net migration into the South. Negative numbers mean more people left than arrived.

- Black Southerners left on net in every decade from 1890 to 1970. From the 1970s more arrived than left.
- Wright calls the reversal "the best single indicator of this historic shift." Most of the newcomers were well educated.
- Althoff and Reichardt's Lower South families mostly never left. Three-quarters of Enslaved families freed in Louisiana were still there in 1940.

Wright (1999), Table 1 and p. 281. Althoff and Reichardt (2024), p. 2306.

Southern incomes converged on the nation's



The South Atlantic rose from about 64 percent of US per-capita income in 1940 to 86 in 1970 and 98 in 1996. The catch-up began before civil rights, so Wright writes that "we cannot use before-and-after econometric tests." He still finds it "even harder to picture the South enjoying its modern prosperity in the absence of the sharp 1960s break with the past."

Wright (1999), Figure 6, p. 282. Three Southern regions as a percent of the US average, nominal with no cost-of-living adjustment. Readings approximate.

Putting the three together

The three questions

1. **Who bore the costs, who gained, and for how long?** Families enslaved until 1865 still trailed families freed earlier in 1940 and in 2023, mostly because they were freed in harsher Jim Crow states. In the border regions the richest tenth of white families gained more where the regime was harsher. Wright argues that exclusion held back the whole region.
2. **Why do preferences change in a revolutionary way?** When people hide what they think, support can rest at a low level and then tip once everyone expects others to act.
3. **Was the Civil Rights Revolution good for the South?** On Wright's evidence yes, unevenly. He has no counterfactual South without the 1960s break.

	Measures	**Assumes**
Althoff and Reichardt	the added cost of being enslaved until 1865 and freed in a harsher state, by linkage and border discontinuity	the place of enslavement was assigned
Wright	how Jim Crow ended, through aggregate series and a tipping model	falsified preferences can be read from behavior afterward
Abramitzky et al.	how linked samples are built and how accurate they are	the benchmarks stand in for the truth

Only Althoff and Reichardt's estimates depend on linked records. Wright works from published aggregate series.

Policy questions

- Althoff and Reichardt argue that any assessment of slavery's legacy should include when and where a family was freed. What does that imply for affirmative action, which treats Black Americans as one group, and for reparations?
- Their border estimates are a lower bound for Jim Crow's importance because every Southern state had Jim Crow. How should a lower bound enter a policy argument?
- Wright calls the public-accommodations law (Title II of the Civil Rights Act of 1964) market enhancing. When does a single federal rule do what local bargaining cannot?

Althoff and Reichardt (2024), pp. 2320 and 2323. Wright (1999), p. 283.

Next week

- **Week 11, 16 November. The Great Depression.**
- Fishback (2010) on US monetary and fiscal policy in the 1930s.
- Romer (1990) on the Great Crash and the onset of the Great Depression.
- Richardson and Troost (2009) on Federal Reserve intervention and bank failures across a district border in Mississippi, 1929–1933. It is another border design.

By 1930 nearly nine in ten Southern Black men could read (Althoff and Reichardt 2024, p. 2318).